

## FCCB

The volatile market trend for much of 2011 and 2012 spelled trouble for many mid-cap companies, which had binged on capital at the peak of the 2007 bull run.

These companies had raised funds through an instrument called the FCCB for capacity expansion, acquisitions, and part retirement of expensive debt. As the name suggested, the money would be raised in a foreign currency and repaid in the same currency.

The market was awash with funds at that time. The golden rule about raising funds is that you must go for it when it is available, whether you need it or not.

Promoters could have raised money by selling shares, since their stock prices were quite high. But they did not want to dilute their holdings in their companies as the stock market frenzy was expected to continue for a while.

At the same time, promoters were wary of loading their balance sheets with too much debt.

FCCBs turned out to be the answer to their prayer, as they promised the best of both worlds. FCCB or convertible, in market parlance, had features of debt as well of equity. As in the case of bonds, there was an interest charge and a fixed tenure. The key difference was that the interest would accumulate over the tenure of the bond and only had to be paid when the bonds matured. The bonds were usually of three- and five-year tenures. There was a pre-decided conversion price at which the bondholders could convert the instruments into shares at maturity. The conversion price was at a 15-20 per cent premium to the current market price of the stock.